

Catch up: Iran and Oman agree on proposed Hormuz route; progressives win in Michigan



Photograph: Reuters

Iran and **Oman** agreed to a proposed new shipping route through the **Strait of Hormuz**, according to Iranian state media. Iran's foreign ministry spokesman said a joint statement between the two countries would soon be finalised, "provided certain third parties do not obstruct the process". The Trump administration has suggested [the waterway](#) could reopen imminently. Oil prices steadied as traders hoped for a deal.

Abdul El-Sayed [narrowly beat Haley Stevens](#) in America's Democratic Senate primary in **Michigan**. With almost all votes tallied, Dr El-Sayed, on the party's left wing, had 48.5%, ahead of Ms Stevens, a centrist, on 47.5%. His victory is a boon for the Democrats' progressive wing after [a bitter intraparty struggle](#). The left has recently won primaries in New York City and Colorado.

SpaceX shares fell almost 14% a day after the company released its first quarterly results since going public. Despite reporting a 92% rise in revenue, [investors were spooked](#) by its net loss of \$541m and a big jump in AI spending. America's tech-heavy NASDAQ closed 0.8% lower. Meanwhile, a bus-sized chunk of a SpaceX rocket (which had been jettisoned in space) [crashed into the Moon](#).

China shot back at America for restricting imports of its technology and banning more goods connected to alleged forced labour from the Xinjiang region. China's trade ministry announced new limits on [drone](#) exports and sanctions on six American companies, including Applied DNA Sciences, a biotech firm. Xi Jinping, China's president, is expected to visit his American counterpart, Donald Trump, next month.

Demis Hassabis, the Nobel-prizewinning boss of Google DeepMind, an AI lab, will step down. He will become Deepmind's chair and chief scientist for Alphabet, Google's parent. Mr Hassabis said he wanted to focus on the "big picture". Last month he elaborated on proposals to regulate AI, including America's government testing new models before release, in an [interview with The Economist](#).

An explosive-laden **drone** was found at **Leipzig** airport in Germany, where Ukrainian Antonov cargo planes are based. It is the first such drone incursion carrying explosives; previous similar incidents have been linked to Russia. Separately the European Commission said it would transfer a fifth tranche of profits, worth €1.4bn (\$1.6bn), from [frozen Russian assets](#) to **Ukraine**.

Citadel's flagship fund gained almost 6% in July, according to investors, its best month since 2022. That was thanks to its snapping up at a discount most of the public stocks held by Situational Awareness, a struggling fund [run by a 24-year-old](#), in a fire sale. The smaller fund was bullish on AI and caught unawares by a tech sell-off.

Figure of the day: 570,000. The estimated number of deaths from AIDS last year. [Read](#) about how poor countries are combating the epidemic after America cut aid.

Novo takes another shot at Lilly



Photograph: Getty Images

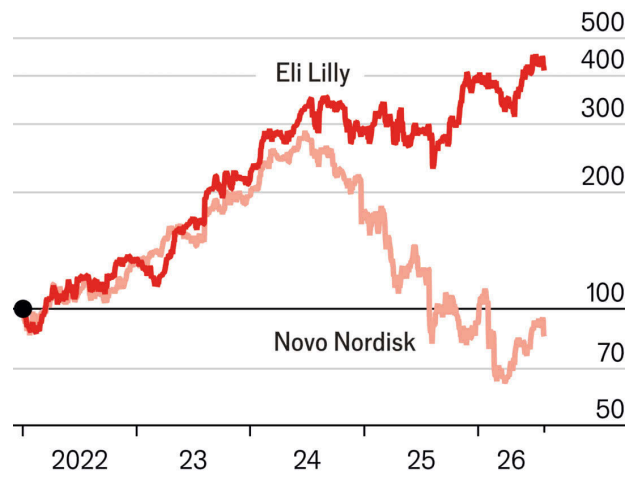
On Wednesday two heavyweights of weight-loss—Novo Nordisk, a Danish drugmaker, and Eli Lilly, its American rival—hold earnings calls. Novo pioneered the latest generation of obesity medicines, known as GLP-1s. But, though it didn't launch its jab until two years later, Lilly is now [the one feasting](#). Since the start of 2024 Lilly's share price has doubled, while Novo's has more than halved. The American firm could capture two thirds of a global obesity-drug market expected to be worth more than \$120bn a year by 2030, according to Bloomberg Intelligence, a research firm.

On Tuesday Novo raised its predicted sales and operating profit for the year but failed to impress investors. Sales of its oral pill, on which the company is pinning its hopes of narrowing the gap with Lilly, came in slightly worse than analysts expected. And its new jab, CagriSema, fell short in a head-to-head trial against Lilly's blockbuster, Zepbound. It looks like the scales are not tipping in Novo's favour just yet.

Chewing the fat

Share prices, January 1st 2022=100

Log scale



Source: S&P Capital IQ

Will the Tate brothers be released on bail?



Photograph: Getty Images

Britain is “pulling out all the stops to politically kidnap” Andrew and Tristan Tate. Or so Joseph McBride, their lawyer, claims. Britain’s Crown Prosecution Service has charged the brothers—[celebrated in the “manosphere”](#) for teaching young men to degrade women—with 59 crimes between them, including rape and sex trafficking. They are already on trial for similar charges in Romania, which they left in 2025 after a two-year travel ban was lifted. Both deny wrongdoing.

The Tates were arrested outside a bare-knuckle boxing fight in Miami in July. The deadline for them to petition a judge to release them on bail is on Wednesday, while a court considers Britain’s extradition request. Mr McBride says that the brothers may be “stabbed, jumped [or] murdered” in jail and that other inmates call them things “more appropriate to [Jeffrey] Epstein”, a notorious child sex-offender. Given that some of the charges against Andrew relate to child pornography, Mr McBride may want to invoke a different comparison.

Taiwanese war games begin



Photograph: AFP

On Wednesday Taiwan began its annual ten-day Han Kuang exercises, its biggest military drills. They will test the island's combat readiness in the event of an invasion or blockade by China, which claims Taiwan as its own. The war games come at a time of intense pressure from China, whose coastguard vessels have been increasing patrols east of Taiwan since June. Aware of criticism that past drills have been [something of a public-relations exercise](#), the government has tried to give them more edge. There will be unscripted exercises giving junior commanders more authority, as well as drills to enhance protection of sea routes and to resist amphibious landings.

Perhaps most intriguing is a parallel “urban resilience exercise” which will deliberately slow down mobile internet to test how society and government agencies respond. Last month Taiwan's legislature voted to relax rules on foreign ownership of satellite operators—potentially enabling firms such as Starlink, owned by SpaceX, to offer internet services, should communications be affected in a crisis. Resilience of all sorts could be needed.

The world's top restaurant reopens



Photograph: AP

Noma is famous for daring diners to spoon brains from smoked ducks' heads and eat salads crawling with snails. But recently patrons of the Nordic restaurant, named best in the world five times, have had to swallow worse. First, Noma closed last year, citing financial pressure. Then, in March, the *New York Times* reported that René Redzepi, its star chef, had abused dozens of employees between 2009 and 2017. Mr Redzepi said he did not “recognise all [the] details”, but was “deeply sorry”.

That did not put all diners off their food. Noma's \$1,500-a-menu pop-up in Los Angeles sold out earlier this year, despite picketing outside. The restaurant will reopen in its old location in Copenhagen on Wednesday—though without its Michelin stars (which it automatically lost when it closed) or Mr Redzepi, who will be “creative director” but not at the pass. Noma's new head chefs say they will [improve working conditions](#), which staff have been calling for. That may help the restaurant withstand the heat.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which TV series featured Scott Bakula playing the time-travelling scientist, Sam Beckett?

Tuesday: The Althing in Iceland is the oldest form of what type of institution?

The misery of being exploited by capitalists is nothing compared to the misery of not being exploited at all.

Joan Robinson